

Meta Platforms (META)

Fundamental analysis & five-year outlook | July 17, 2026 | Price \$646.01 (close, 7/17/26) | Market cap ~\$1.64T | No stock split in company history — all historical figures comparable

The one-paragraph version. Meta is a wide-moat, cash-gushing advertising machine — a ~52%-operating-margin Family of Apps reaching 3.56 billion daily users — wrapped around two expensive bets on the future (the metaverse, now the money-losing sidecar, and "superintelligence," now the main event). The remarkable thing is the price: after sliding ~19% from its August-2025 high, the stock trades at roughly **22-24× my estimate of clean earnings** — around its own five-year average, and a fraction of the multiples on the AI picks-and-shovels names. You are *not* paying a bubble price for the best-monetizing consumer-AI distribution on earth. **The crux is 2026 itself: operating margin compresses from 41% toward ~34% and free cash flow falls to roughly breakeven as \$125-145B of AI capex and a doubling depreciation wave land at once — and the entire bull case rests on whether that spend returns as incremental ad revenue and recovered margins, or quietly becomes a depreciation sinkhole** (the bear, and Michael Burry's public short). Run the scenarios and, unusually for this market, the skew is *positive*: my base case earns ~+12%/yr and the probability-weighted expectation is ~+10%/yr. **For you this is already the largest position, so the question isn't "buy?" but "hold/add?" — and my read is hold, and add on the AI-spend-fear weakness rather than trim, sized in the knowledge that it deepens the AI-capex bet you already run.** Next catalyst: Q2 prints July 29.

1. History, business model, and revenue mix

The short history

Meta is the same advertising business it has always been, twice reinvented at the edges. Founded 2004, IPO'd 2012, Mark Zuckerberg still runs it with voting control — which matters here more than at most companies, because the two defining strategic gambles of the last five years were his personal convictions, taken over the market's objections. The first was the **2021 metaverse pivot** and the rename to "Meta," which begat Reality Labs and, so far, roughly **\$87 billion of cumulative operating losses** chasing a next computing platform that has not arrived. The market punished it: the stock fell ~64% in 2022. The second chapter was the **2023 "Year of Efficiency"** — mass layoffs, margin recovery, a quadruple off the lows — which restored credibility just in time for the third and current chapter.

That chapter is **AI**. After the open-source Llama 4 model landed as a disappointment in 2025 (its benchmark results were later shown to have been gamed), Zuckerberg lost confidence in the existing AI org and, in June 2025, spent **\$14.3B for 49% of Scale AI** largely to acqui-hire its CEO Alexandr Wang, installing him and ex-GitHub chief Nat Friedman atop a new **Meta Superintelligence Labs**. He then recruited from OpenAI, Anthropic and Google DeepMind with compensation packages reported to reach into the hundreds of millions per person. To fund it, Meta is doing two things at once that look contradictory but aren't: **laying off ~8,000 people** (about 10% of staff, beginning May 2026) while simultaneously *doubling* capital spending. The metaverse dream has been quietly subordinated to the superintelligence dream, and the whole company is being re-pointed at it.

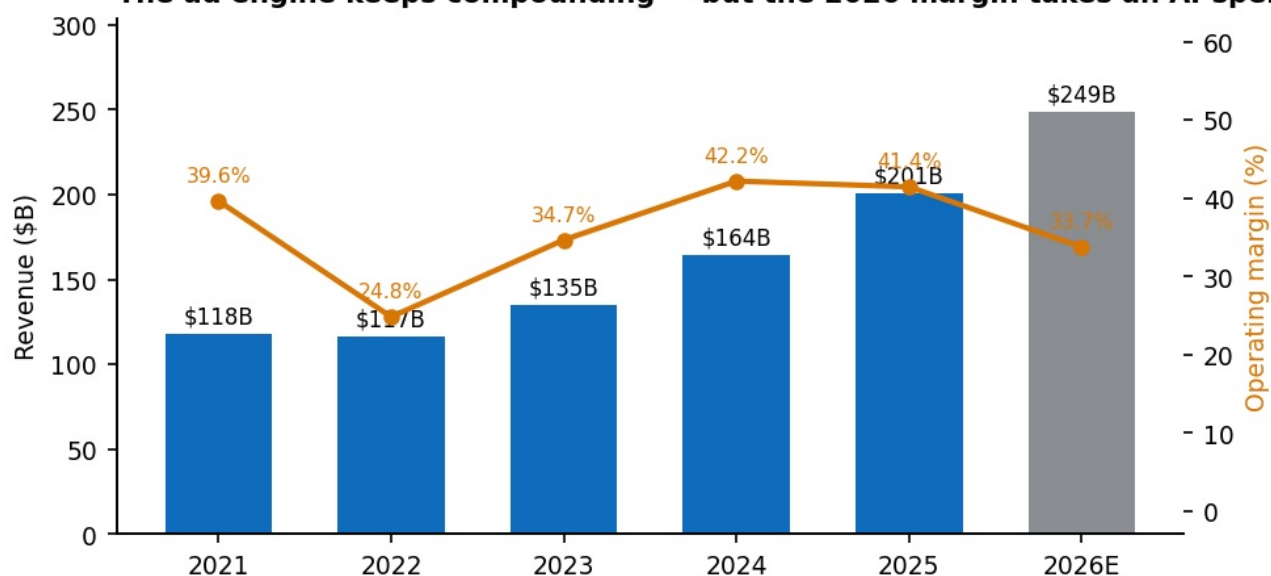
Business model

The economics are among the best in the S&P 500 and worth stating plainly: Meta gives away four apps — Facebook, Instagram, WhatsApp, Messenger — collects an extraordinary quantity of behavioral data, and rents advertisers precise access to 3.56 billion daily users. Advertisers bid against each other in real time, so pricing power is structural: **ad impressions rose 19% and average price per ad rose 12% year-over-year in Q1 2026 simultaneously** — more inventory sold at higher prices, the signature of a business with demand it doesn't have to chase. The Family of Apps throws off a **~52% operating margin**; the blended 41% you see is that engine dragging the Reality Labs anchor. Ninety-nine percent of revenue is advertising. Everything else — the metaverse, the AI labs, the glasses — is spending that advertising pays for.

Segments and revenue mix

Segment	2025 revenue	% of total	2025 op. income	Momentum
Family of Apps (FB, IG, WhatsApp, Messenger)	\$198.8B	98.9%	+\$102.5B (~52% margin)	Op. income +18% YoY; the entire profit engine
Reality Labs (VR/AR, wearables)	\$2.21B	1.1%	-\$19.2B	Loss widened 8%; ~\$87B lost cumulatively
Total Meta		\$200.97B	\$83.3B (41.4% margin)	Revenue +22% YoY

The ad engine keeps compounding — but the 2026 margin takes an AI-spend hit



Sources: Meta FY2025 10-K and Q4'25/Q1'26 press releases (Jan 28 & Apr 29, 2026). Segment op-income split derived from the 10-K (FoA = total op income + RL loss). 2026E revenue and margin are **my estimates** built up from Q1 actual (\$56.3B), Q2 guidance (\$58–61B), and management's \$162–169B total-expense guide; the margin line is the load-bearing point — see §5 and §7.

The mix story is simple arithmetic and one honest worry. Family of Apps revenue compounds in the high-teens to low-20s on impressions plus price; Reality Labs is a rounding error on revenue and a ~\$19B/yr hole on profit that management now guides to stay "similar" in 2026. The worry hiding in an otherwise pristine quarter: Q1 2026 was the **first-ever sequential decline in daily active people** (3.56B, down slightly from Q4), which management attributed to internet disruptions in Iran and a WhatsApp restriction in Russia — plausibly geopolitical rather than fundamental (DAP still grew 4% YoY), but a line worth watching now that it has appeared once.

2. Moat and competitive landscape

Where the moat is real

- **Network effects at civilizational scale.** 3.56 billion people use a Meta app every day. A social graph that large is close to un-rebuildable; the value of each app to a user is the other users already on it, and Meta owns four of the largest such graphs on the planet. This is the deepest moat in the portfolio.
- **A closed-loop ad system competitors can't match on data.** First-party signal across four apps, an auction that makes advertisers compete to raise Meta's prices, and an AI targeting/creative stack (Advantage+) that keeps improving conversion. After Apple's 2021 privacy changes gutted third-party tracking, Meta rebuilt targeting on its own data and *re-accelerated* — proof the moat survived the single biggest attack on it.
- **Zuckerberg's control and willingness to spend counter-cyclically.** Founder control is double-edged, but it let Meta absorb \$87B of Reality Labs losses and now a \$135B capex year without a proxy fight. For a genuinely long-horizon owner, patient capital under one decision-maker is an asset when the bet is right.
- **It just won the case that could have broken it up.** On Nov 18, 2025 a federal judge ruled Meta is *not* a monopolist and can keep Instagram and WhatsApp — the existential risk is off the table (pending an FTC appeal). Contrast Google, which *lost* two monopoly rulings (search and ad-tech) over the same stretch.

Where the moat is thinner than the bulls admit

- **Engagement, not just users, is the real moat — and it's under attack.** TikTok and YouTube compete directly for the finite hours Meta monetizes; Boasberg's own ruling noted Facebook and Instagram now largely show TikTok-style algorithmic short video. The first sequential DAP dip, whatever its cause, is a reminder that scale is not the same as growth.
- **The AI bet is unproven and enormous.** Superintelligence Labs has spent lavishly on talent and produced, so far, one model. If AI mainly makes the existing ad business a few points better, the \$135B/yr is wildly overbuilt; the return case requires AI to open genuinely new monetization (agents, business messaging, an AI assistant with its own economics) — none of it yet visible in revenue.
- **Depreciation is a choice Meta is making generously.** It stretched server lives to 5.5 years just as peers like Amazon *shortened* theirs citing AI obsolescence. That flatters near-term margins and is exactly the assumption the whole valuation leans on (see \$5–\$6).
- **Regulatory pressure never fully lifts.** The EU (DMA/DSA, the "less personalized ads" fight) and U.S. youth-harm litigation — which Meta itself flags as potentially a "material loss" in 2026 — are a permanent tax on the model, even after the FTC win.

Peer comparison (7/17/26 close)

Company	Market cap	Trailing P/E	2025 rev growth	Position vs META
Meta (META)	~\$1.64T	24x (~22x clean)	+22%	The reference consumer-AI ad compounder
Alphabet (GOOGL)	~\$4.22T	27x	~+14%*	Bigger, similar clean multiple; but carries two antitrust losses META dodged
Amazon (AMZN)	~\$2.66T	30x	~+11%*	Ads growing fast but a small slice of a retail+cloud model
AppLovin (APP)	~\$143B	38x	~+30%*	Faster-growing ad-tech, richer multiple, far narrower
Reddit (RDDT)	~\$35B	53x	~+50%*	High-growth, high-multiple, tiny by comparison
Snap (SNAP)	~\$7.5B	n/m (loss)	low-teens*	The perennial also-ran; unprofitable

Source: Robinhood live quotes/fundamentals, 7/17/26 close (market caps and trailing P/E). *Peer 2025 revenue-growth figures are approximate, triangulated from public reporting, not same-day-verified filings. META "clean" trailing multiple strips the net –\$7.9B of one-time tax items in the trailing year (see \$5).

3. Growth drivers

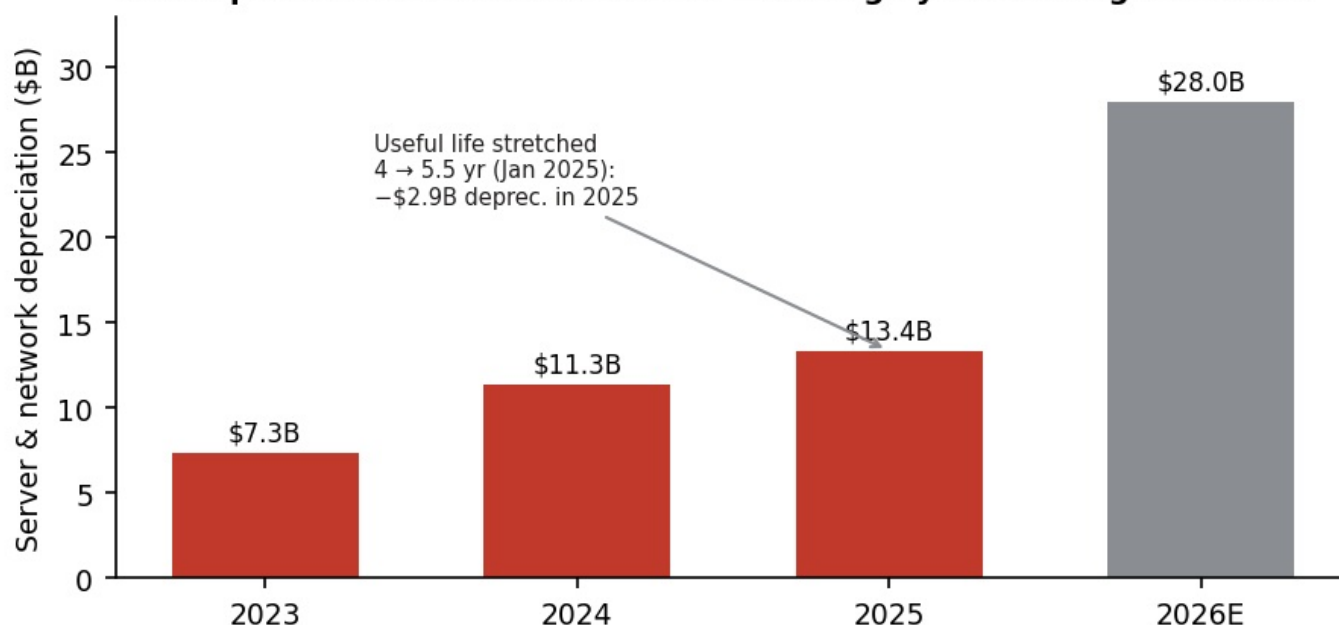
Driver 1 — More impressions × higher prices in the core ad business (proven, compounding)

This is the whole game and it still works. In Q1 2026, **impressions grew 19% and price per ad grew 12% at the same time** — a combined ~33% revenue tailwind (~29% ex-FX). More inventory comes from engagement (Reels, more surfaces) and new formats (WhatsApp/Threads monetization ramping); higher prices come from better AI targeting and ad relevance. As long as both lines stay positive together, revenue compounds in the high-teens+ with no new business required. The base case asks only that this decelerates gracefully, not that anything new works.

Driver 2 — AI applied to the ad system (proven and compounding; the near-term payoff)

The most important AI story at Meta isn't a chatbot — it's Advantage+ and generative ad tools quietly lifting advertiser ROI, which feeds straight back into price per ad. This is the mechanism by which the \$135B capex could actually pay: even a few points of conversion improvement across a ~\$200B ad base is worth tens of billions. It is real and already contributing; the debate is magnitude, not existence.

The depreciation wave is still ahead — it roughly doubles again in 2026



Sources: Meta 10-Ks and 10-Qs. 2026E server/network depreciation (~\$28B) is **my estimate** off the disclosed asset base and 5.5-yr life; the point is directional. The –\$2.9B call-out is Meta's own disclosure of the 2025 benefit from extending useful life from 4 to 5.5 years.

Driver 3 — Meta AI, agents and business messaging (optionality — near-zero in my base case)

A consumer AI assistant with a billion-plus reach, agentic commerce, and paid business messaging on WhatsApp are the genuine "new S-curve" possibilities. They could be large. They are also unproven as revenue, so **I assign them roughly zero in the base case and say so**; they live entirely in the bull scenario.

Driver 4 — Wearables / AI glasses (optionality — zero in base case)

The Ray-Ban Meta glasses are the one Reality Labs product with genuine traction and the most plausible path to the "next platform." Still immaterial to a \$200B revenue base; upside, not thesis.

4. Capital allocation

Item	Detail
Capex	\$72.2B (2025) → guided \$125-145B (2026) , incl. finance leases — roughly a doubling, for AI data centers and GPUs
Off-balance-sheet	~ \$27-29.5B Hyperion SPV ("Project Beignet," Blue Owl 80% / Meta 20%, PIMCO-anchored) plus a newer Texas vehicle — data-center debt that never lands on Meta's balance sheet, backed by a 16-yr residual-value guarantee. <i>This understates true capital intensity.</i>
R&D / talent	High-20s % of revenue; Superintelligence Labs comp reportedly "hundreds of millions" per key hire. \$14.3B Scale AI deal (49%) to seed the org
Dividend	\$0.525/qtr (\$2.10/yr), ~0.3% yield. Initiated only in 2024; token by design
Buyback	Slowed sharply — ~\$3.2B in Q3'25 vs. a ~\$30B/yr pace in 2024, as cash was redirected to capex
Debt	\$58.7B on balance sheet (Q1'26), incl. a \$25B senior-notes deal (May 2026) — a company that ran net cash for a decade is now a real borrower
Balance sheet	\$81.2B cash & marketable securities (Q1'26); still investment grade, but the fortress is being levered up

The honest read — the actions, not the press release. Three signals, and they all say the same thing. Buybacks slowed, on-balance-sheet debt jumped, and tens of billions were pushed *off* the balance sheet through SPVs. A company that repurchased ~\$30B of its own stock in 2024 and is now issuing bonds and lease-financing data centers is telling you its capital needs have outgrown even its enormous cash flow. That is management conviction that the AI spend is worth it — and it is also, unavoidably, a large increase in financial and operating leverage. I read it as rational aggression by an owner-operator who has been right before; but it removes the balance-sheet cushion that made Meta safe to hold through anything, and it is why the 2026 free-cash-flow trough (below) matters more than it would have three years ago.

Capital event worth its own box: Meta is now financing AI infrastructure off its balance sheet.

In October 2025 Meta and Blue Owl Capital closed ~**\$27-29.5B of financing for the Hyperion data-center campus** in Louisiana — the largest private-credit deal on record — structured so Meta owns just 20% of the joint venture and *none* of the debt appears on its books. It is repeated with a second, Texas vehicle in 2026. The mechanics: the SPV borrows, builds, and leases the campus back to Meta, which signs a **16-year residual-value guarantee** — so Meta keeps the economic risk (it must honor the leases even if AI demand weakens) while the leverage stays invisible to the balance-sheet screens. This is legal and disclosed, and every hyperscaler is now doing it. But **stripped of spin: Meta's true capital commitment to AI is larger than the \$125-145B headline capex, and its true leverage is higher than its reported \$58.7B of debt.** Anyone sizing the balance-sheet risk off the reported figures is looking at an incomplete picture — and Meta's own credit-default-swap spreads widened to records as the market noticed.

5. Financial deep dive

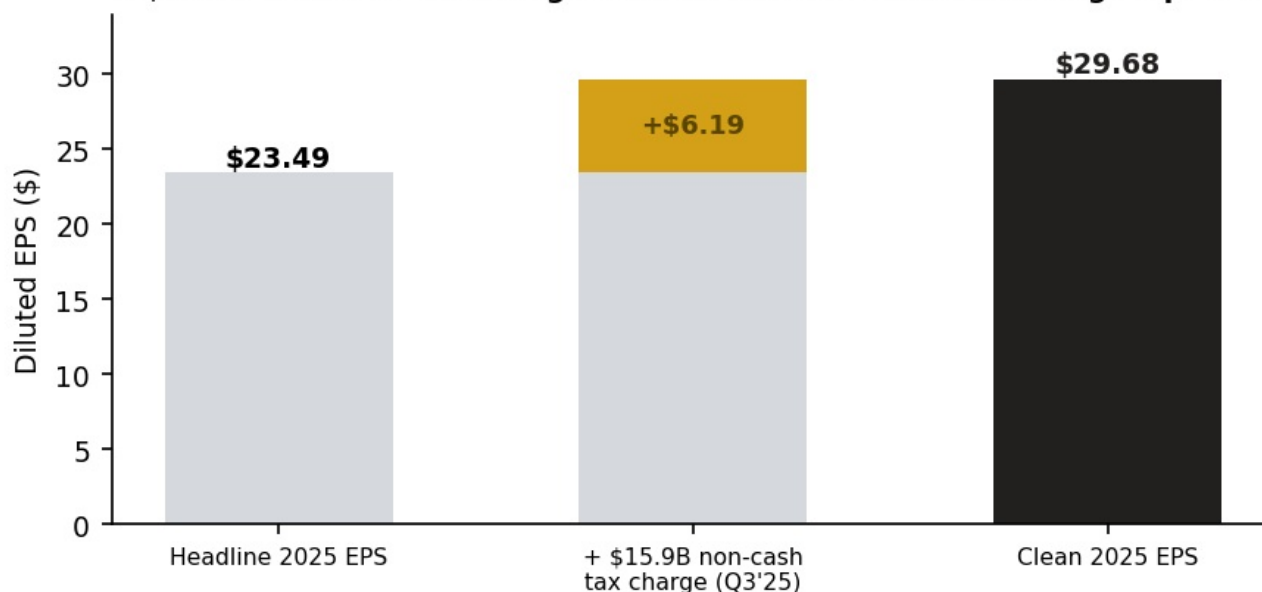
Five-year record

Fiscal year	2021	2022	2023	2024	2025	2026E
Revenue (\$B)	117.9	116.6	134.9	164.5	201.0	~249
Revenue growth	+37%	-1%	+16%	+22%	+22%	~+24%
Operating income (\$B)	46.8	28.9	46.8	69.4	83.3	~84
Operating margin	39.6%	24.8%	34.7%	42.2%	41.4%	~34%
Net income (\$B, headline)	39.4	23.2	39.1	62.4	60.5	~69
Diluted EPS (headline)	13.77	8.59	14.87	23.86	23.49	~27.5
Capex incl. leases (\$B)	~19	~32	28.1	39.2	72.2	125-145
Free cash flow (\$B)	~39	~19	~44	~52	~40	~5 (est.)

5-yr CAGRs (2021~2025): revenue +14%, operating income +16%, headline EPS +14%. 2026E figures are **my estimates** (revenue built from Q1 actual + Q2 guide + management's expense guide; FCF is the softest — it could plausibly land anywhere from roughly breakeven to ~\$30B depending on where capex hits in the \$125-145B range and how operating cash flow grows). Note the two visible distortions: the 2022 margin trough (the metaverse-loss + ad-recession low), and the 2025 headline EPS *falling* despite higher operating income — which is not what it looks like.

The 2025 "earnings decline" is an accounting artifact — clean earnings rose ~24%. Headline 2025 net income of \$60.46B (EPS \$23.49) is *below* 2024's \$62.36B, which reads as a down year. It wasn't. Buried in Q3 2025 is a **\$15.93B non-cash tax charge** (a deferred-tax revaluation tied to updated U.S. tax guidance), partially reversed by an \$8.03B benefit in Q1 2026. Add the charge back and **clean 2025 net income is ~\$76.4B and clean EPS ~\$29.7 — up ~24% on 2024.** The tax items are company-disclosed; the clean figure is my calculation. The same items depress the trailing-twelve-month number the screens use, so — unusually — Meta's reported 24× trailing P/E slightly *overstates* the multiple: on clean trailing earnings it's ~22×. Stripping the noise makes Meta look modestly *cheaper*, not more expensive — the rare case where the headline is too bearish.

A \$15.9B non-cash tax charge makes 2025 look like an earnings dip. It wasn't.



Source: Meta Q3'25 and Q1'26 releases (tax charge/benefit disclosed); shares per Meta filings. Clean EPS is my calculation.

Key metrics — current

Metric	Value	Comment
Price / market cap	\$646.01 / ~\$1.64T	Close 7/17/26; down ~19% from the \$796 Aug-2025 high , 52-wk low \$520
Trailing P/E (GAAP)	~24x	Slightly <i>overstated</i> — TTM depressed by net –\$7.9B of one-time tax items
Trailing P/E (clean, mine)	~22x	The <i>honester</i> current multiple; near Meta's own 5-yr average
Forward P/E (2026E clean, mine)	~23–24x	On my ~\$27.5 clean 2026E EPS — a margin-trough year
Operating margin (2025 / 2026E)	41% / ~34%	The compression is the story — expenses guided +38–44%
FCF (2025 / 2026E)	~\$40B / ~\$5B (est.)	Capex swallows it; hence the debt and SPVs
Net cash	~\$22B and shrinking	\$81B securities — \$59B debt, before off-B/S leases; the fortress is thinner
Dividend yield	~0.3%	Irrelevant to the case — a total-return holding
ROE / ROIC (reported)	de-emphasized	Noisy this year — the same tax items swing net income; underlying returns on the ad business are genuinely very high, but the screen figures are distorted

Sources: Robinhood 7/17/26; Meta filings. ROE/ROIC de-emphasized deliberately — the one-time tax items make the reported figures uninterpretable this year, which is itself the point.

Owner earnings / cash-flow quality — and the depreciation question

Here is the tension a Buffett/Munger lens sharpens. Meta's *reported* earnings are high-quality cash — but its *owner* earnings in 2026 are being almost entirely consumed by growth capex whose payoff is unproven. Free cash flow falls from ~\$40B (2025) to roughly breakeven (2026E) not because the business weakened but because \$135B is going into the ground. The right question isn't "is the cash real?" (it is) but "is the reinvestment earning its cost of capital?" — and we won't know for two or three years. Compounding the uncertainty: Meta stretched server/network useful life from 4 to 5.5 years effective January 2025, which cut 2025 depreciation by **\$2.9B** and lifts reported margins exactly as the asset base explodes. If the true economic life of AI silicon is shorter (Amazon *shortened* its estimate citing AI obsolescence; short-seller Michael Burry has staked a public position on precisely this point), reported earnings are flattered. The sensitivity:

2026E server/network depreciation life	Depreciation	2026E clean EPS	"True" P/E at \$646	Read
5.5 yr (as reported)	~\$28.0B	~\$27.50	~23.5x	The stated case
5.0 yr	~\$30.8B	~\$26.56	~24.3x	Modestly dearer
4.0 yr (punitive, Burry-style)	~\$38.5B	~\$23.98	~26.9x	Expensive, but not a broken business

Illustrative only. Flexes only the depreciation assumption on my ~\$28B 2026E server-depreciation estimate at a 15% tax rate; Meta doesn't disclose cohort-level depreciation, so this is a model, not a filing figure. The takeaway is the shape: **even a punitive 4-year assumption leaves Meta at ~27x — dear for a decelerating year, but nowhere near the 40–80x the AI-hardware names carry.** The depreciation debate changes the entry point; it does not break the thesis.

6. Key risks and red flags

Risk	Severity	Assessment & what to watch
AI capex overbuild / no return	HIGH	\$135B/yr with an unproven return case. Watch price-per-ad growth and operating-margin trajectory — if margins keep falling into 2027 with no revenue acceleration, the spend isn't paying. First read: July 29.
Margin compression (2026 trough)	HIGH	Op. margin 41%→~34% as expenses grow ~40%. Watch each quarter's margin vs. Q1's 40.6% high — the market may punish the trough even if it's temporary.
Depreciation / useful-life	MED-HIGH	5.5-yr life flattens margins; a forced re-shortening would cut EPS (see \$5 sensitivity). Watch for any accelerated-depreciation or impairment charges.
Off-balance-sheet leverage	MED-HIGH	SPV lease obligations + rising debt reduce the safety cushion. Watch total debt, SPV disclosures in the 10-Q, and CDS spreads.
Engagement / TikTok & YouTube	MEDIUM	First sequential DAP dip appeared in Q1'26. Watch DAP and any time-spent disclosure; a second unexplained dip would matter.
Youth-harm & EU regulation	MEDIUM	Meta itself flags a possible "material loss" from 2026 U.S. youth trials; EU DMA/DSA friction is chronic. A large verdict is the tail.
FTC antitrust	LOW (overstated)	I think the market <i>overstates</i> the residual risk. Meta won the break-up case in Nov 2025; the appeal is a multi-year long shot, and unlike Google, Meta carries no adverse monopoly ruling. The existential version of this risk is gone.
Key-person / governance	LOW-MED	Zuckerberg's voting control means the AI bet is one person's call. It has been right before; it is still concentrated decision risk.

Red flag worth its own paragraph: the depreciation timing bomb the bulls wave away.

Meta is capitalizing well over \$100B a year of mostly-GPU hardware and depreciating it over 5.5 years — a life it *extended* in January 2025, booking a \$2.9B margin benefit, at the very moment Amazon went the other way and *shortened* its estimate because AI gear is going obsolete faster. Server depreciation has already gone \$7.3B → \$11.3B → \$13.4B over 2023-25 and, on my estimate, roughly doubles again toward ~\$28B in 2026 — and that is *before* the \$135B of 2026 capex has fully rolled onto the depreciation schedule. The wave crests in 2027-2028. If the ad business keeps accelerating, revenue outruns the depreciation and this is a non-issue. If revenue merely holds while depreciation compounds, reported margins get ground down for years and the "cheap" multiple stops being cheap. **Stripped of spin: the single number that determines whether \$646 is a bargain or a trap is not this quarter's ad growth — it's whether ad revenue in 2027-2028 grows faster than the depreciation on the mountain of silicon Meta is burying right now.** That is the honest crux, and no one — including management — yet knows the answer.

7. Valuation and five-year outlook

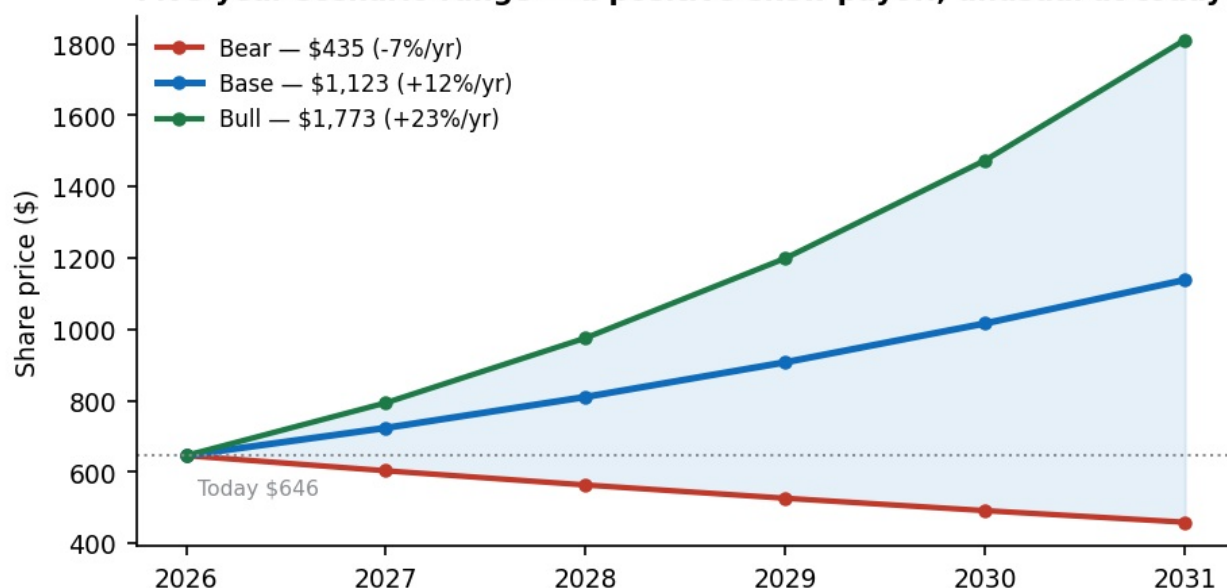
The setup. You are being offered the best consumer-AI distribution business in the world, with a ~52%-margin cash engine and a moat as deep as any in the portfolio, at **~22-24× clean earnings** — roughly its own five-year average multiple, after a ~19% pullback, in a market that is paying 40-80× for the companies selling Meta its chips. The catch is that you're buying into a margin-trough year, and the multiple is "average" precisely because the market is unsure whether the AI spend is investment or destruction. That is a genuinely more attractive starting point than most AI-exposed equities offer today.

Five-year scenarios (hold to end-2031)

Scenario	2031 rev	Net margin	EPS	Exit P/E	Price	5-yr IRR
Bear — AI spend doesn't pay; ad growth fades to high-single-digits, depreciation grinds margins, multiple de-rates	~\$330B	24%	~\$31	14×	\$435	-7%/yr
Base — ad engine compounds ~13%, AI improves monetization, margins recover past the 2026 trough toward high-30s	~\$400B	30%	~\$51	22×	\$1,123	+12%/yr
Bull — AI opens new monetization (agents, business messaging, assistant), margins re-expand, glasses scale	~\$490B	32%	~\$68	26×	\$1,773	+23%/yr

IRR includes the (negligible) dividend. **My assumptions, not consensus.** Probability-weighted (25% bear / 50% base / 25% bull), expected IRR is roughly **+10%/yr** — and, unlike most names in this market, the skew is positive: the bull outrun exceeds the bear drawdown.

Five-year scenario range — a positive-skew payoff, unusual at today's prices



What is priced in at \$646?

Run it backwards. To earn a market **10%/yr for five years**, Meta needs to reach roughly **\$1,040 by 2031**. At a 20× exit that requires ~\$52 of EPS — about **\$122B of net income**, implying revenue near \$400B at ~30% net margin: essentially my base case. In other words, **the market at \$646 is pricing roughly the base case, not the bull**. That is the crucial contrast with the expensive end of the AI trade (and with GEV, where the bull case was already the base): here you are being paid a fair expected return for the central outcome, with real upside if the AI spend works and a cushioned downside because you didn't overpay going in. You are not underwriting perfection.

Fit with your portfolio's growth objective

This is already your largest holding, so the decision is hold/add/trim, not initiate. On a Buffett/Munger frame — buy good businesses at fair prices and don't trim winners to fund losers — Meta is close to the ideal object of that discipline: a dominant, high-return compounder that has pulled back to a fair multiple on a fear (the margin trough) that a 10-year holder is uniquely positioned to look through. **The dividend (~0.3%) is irrelevant** — as expected given your pension floor; judge this purely on total return. **Your 10-year horizon is a genuine edge:** the 2026 FCF trough and margin compression that will scare traders are precisely the kind of pay-now/earn-later profile you can hold through, and if the depreciation wave and AI spend resolve favorably by 2028, the payoff accrues to patient capital. **The one caution is correlation.** Meta stacks on the AI-capex bet you already carry through AVGO, SOXQ and MSFT — but note the *difference*: Meta is the demand side (it buys the chips, funded by a gushing ad business) while AVGO/SOXQ are the supply side (they sell the picks). It diversifies the *link in the chain* even as it deepens the *theme*; treat added weight as concentrating the theme, and size accordingly. Tax location is a non-issue — ordinary growth equity, negligible distribution; the taxable account is fine (unlike your REITs, which belong in the 401(k)/403(b)). I'm not a tax advisor; confirm with one.

The three things to actually watch

1. **Operating-margin trajectory.** 41% (2025) → ~34% guided (2026), with Q1 at 40.6% the high-water mark. If margins fall *below* ~32% and keep falling into 2027 with no revenue re-acceleration, the AI spend is not paying and the thesis weakens. If they trough and stabilize, it's working.
2. **Price-per-ad growth.** +12% YoY in Q1'26. This is the cleanest single read on whether AI is improving monetization. As long as it stays firmly positive alongside impression growth, the return case is intact; a stall here is the early warning.
3. **The July 29, 2026 print (12 days out).** Watch Q3 revenue guidance vs. consensus, the 2026 capex and expense guides (any *further* raise), DAP (a second unexplained dip), and margin. Consensus is ~\$7.19 EPS on \$58-61B guided revenue. Into a stock that has already de-rated, a clean quarter could re-rate it; a capex raise without revenue acceleration is the air-pocket risk.

Bottom line

Meta is the highest-quality business in your portfolio and, right now, one of the more reasonably priced ways to own the AI theme — a rare combination. The moat is the deepest you hold, the core ad engine is compounding at 20%+ with 50%+ segment margins, management is executing an audacious but coherent reallocation toward AI, and the market has handed you a ~19% pullback to roughly the stock's average multiple because it's nervous about a margin-trough year. On a clean-earnings basis it's ~22× trailing; the strip-the-noise work makes it look *cheaper*, not dearer; and the reverse-DCF says you're paying for the base case, not the bull. My base case earns ~+12%/yr and the probability-weighted expectation is ~+10%/yr with positive skew.

The reason it's a hold-and-add-on-weakness rather than a table-pounding buy is the honest crux, not the price: whether 2027-2028 ad revenue outruns the depreciation on the \$135B/yr of silicon Meta is burying now is genuinely unknowable today, and 2026 is a year of compressing margins, near-zero free cash flow, and rising leverage that could produce real volatility — especially around July 29. For a trader that uncertainty is a reason to wait; for a pension-backed 10-year owner for whom this is already the anchor position, it's a reason to hold what you have, add into AI-spend-fear selloffs rather than chase strength, and let the reallocation play out — while keeping clear-eyed that you are deepening, not diversifying, the single largest bet in the book.

Sources & disclosures. Primary: Meta Platforms FY2025 Form 10-K (filed Jan 2026); Q1 2026 press release & 8-K (Apr 29, 2026); Q4/FY2025 press release (Jan 28, 2026); Q3 2025 release; Q1 2026 earnings-call transcript; Meta IR (Q2 2026 date release, Jul 14, 2026). Regulatory: Judge Boasberg's Nov 18, 2025 FTC v. Meta ruling (per Sullivan & Cromwell, CBS, WaPo, AP). Financing: Blue Owl/Hyperion "Project Beignet" coverage (Bisnow, Forbes, S&P via secondary). Depreciation: Meta 10-K/10-Q accounting notes; HBS case & Bloomberg/Fortune coverage of the useful-life change. Market data: Robinhood live quotes/fundamentals, July 17, 2026 close (META \$646.01; peers same-day). Secondary/triangulation used only for cross-check.

Known uncertainties, stated plainly: (1) 2026E revenue (~\$249B), operating income (~\$84B), EPS (~\$27.5) and especially **free cash flow (~\$5B) are my estimates** — FCF in particular could land anywhere from roughly breakeven to ~\$30B depending on where capex falls in the \$125-145B range. (2) "Clean" 2025 EPS (~\$29.7) adds back the disclosed \$15.93B Q3'25 tax charge; the clean figure and the trailing-clean multiple are my calculations, not company-reported. (3) The FoA/RL operating-income split is derived from the 10-K, not a separately reported margin. (4) The 2026 server-depreciation estimate (~\$28B) and the entire depreciation sensitivity table are a model — Meta does not disclose cohort-level depreciation. (5) Cumulative Reality Labs losses (~\$87B) and the off-balance-sheet SPV totals are approximate/triangulated. (6) Peer revenue-growth figures are approximate, not same-day-verified. (7) All scenario inputs — growth, margin, share count, exit multiple — are my assumptions and will be wrong in ways I can't anticipate. (8) Every price and multiple is as of the 7/17/26 close and will be stale immediately; **Meta reports Q2 on July 29, 2026, which will move all of it.**

This is educational research and analysis, not investment advice. I am not a licensed financial or tax advisor, and nothing here is a recommendation to buy or sell any security. The scenario models reflect my assumptions, which will be wrong in ways I cannot anticipate. Position sizing, tax consequences, and how this fits alongside your existing AI-capex concentration should be decided by you — ideally with a fiduciary who can see your whole balance sheet.